WAAREE ENERGIES

WAAREE
One with the Sun

Team
Equi-Potential

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Excel Sheet Link



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About the Company

Waaree Energies Limited is India's largest manufacturer of **solar photovoltaic (PV)** modules, engaged in the manufacture of solar PV modules and solar cells and, through its subsidiaries, in solar EPC, **renewable power generation** and allied clean-energy products **(inverters, battery storage and green-hydrogen electrolysers)**. It serves utility, commercial & industrial (C&I) and retail customers in **India and overseas**.

Market Cap	7,05,03,34,22,085 (as on 13th october)
Sector	Solar renewable energy
Current Price	2451 (as on 13th october)
52 week High/Low	₹ 3719 / 2282
Company code	NSE: WAAREEENER; BSE: 544277

Vision

To make sustainable energy accessible and affordable across emerging markets by delivering high-quality Renewable Solutions that reduce carbon emissions and enhance lives through a cleaner, brighter future.

Mission

Driven by their commitment to stakeholders, they continuously enhance the quality of our products and services to deliver lasting value and impact.



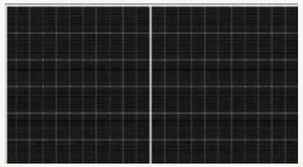
Products



Waaree is building a **1 GW alkaline electrolyser plant** at Dungri, Gujarat (targeting FY27, **₹675 crore capex**), offering **systems from 100 kW–10 MW** along with modular and end-to-end green hydrogen solutions, backed by ₹950 crore in PLI incentives and a already ₹150 crore order book.



Waaree Power is building a **4 GW inverter plant at Sarodhi, Gujarat** (₹180 crore capex), with Phase-I of 3 GW commissioned and Phase-II of 1 GW targeted by FY27, currently it sits within the broader "**adjacent businesses**" alongside BESS, transformers and electrolysers



Solar PV Modules remain Waaree's core business, contributing **89% of consolidated revenue** (₹23,437 crore of ₹26,537 crore in FY26), with **25.8 GW module capacity** (targeting 29 GW) across TOPCon, HJT, PERC, bifacial, flexible and BIPV formats



Waaree is building a **20 GWh battery energy storage plant at Rola, Gujarat** (Phase-I 3.5 GWh by FY27, remaining by FY28, **₹10,000 crore capex**), offering utility-scale, commercial & industrial, and **hybrid BESS solutions with in-house battery cells**, packs and containers.



Waaree Transpower runs a **9,530 MVA transformer facility at Alwar** (Distribution, IDT and Power Transformers up to 30 MVA), expanding to **20,000 MVA,** Waaree Smart Meters makes about 6 lakh meters/year at Nashik, and upstream,

Business Model

Solar Photovoltaic Modules

The company manufactures standard multi-crystalline and mono-crystalline **PV modules**, advanced TOPCon modules such as bifacial monocrystalline, flexible module, passivated emitter, rear cell modules and **building-integrated photovoltaic** (BIPV) modules

Solar EPC and Project Development

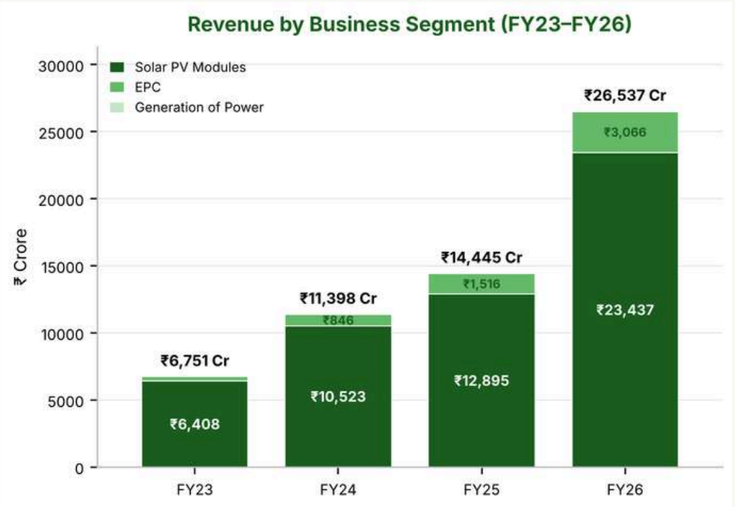
Through **Waaree Renewable** Technologies Limited, a **74.5%-owned**, separately listed subsidiary, the company provides turnkey solar project solutions covering **EPC** and commissioning. Its activities span ground-mounted, rooftop and floating **solar installations,** along with operations and maintenance**(O&M)** services and selective development of solar assets.

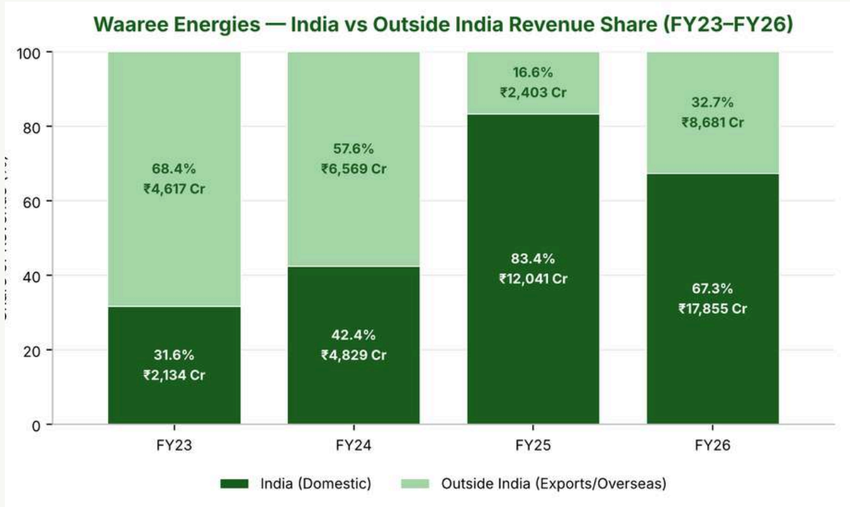
New Energy Verticals

Waaree is expanding into adjacent **clean-energy** businesses, including BESS, inverters, transformers, smart meters, green hydrogen and solar glass manufacturing **broadening** its product portfolio and strengthening its presence across the **renewable energy value chain**, from power generation equipment to storage and supporting infrastructure.

Revenue division







Subsidiaries

1. Indosolar Limited
2. Sangam Solar One Private Limited
3. Voltshift Energy Transition Private Limited
4. Waaneep Solar One Private Limited
5. Waasang Solar One Private Limited
6. Waaree Clean Energy Solutions Private Limited
7. Waaree Energies Middle East FZE
8. Waaree Energy Storage Solutions Private Limited
10. Waaree Forever Energies Private Limited
11. Waaree Green Aluminium Private Limited
12. Waaree Green Glass Private Limited
13. Waaree India Foundation
14. Waaree Power Private Limited
15. Waaree Renewable Technologies Limited
16. Waaree Solar Americas Inc.
17. Waaree Transpower Private Limited

Business (Entity)	Capex	Status / Target
Battery Storage (Waaree Energy Storage Solutions)	Rs 10,000 Cr	3.5 GWh to 20 GWh by FY29
Solar Glass (Waaree Green Glass)	Rs 3,900 Cr	2,500 TPD plant
Green Hydrogen Electrolyser (Waaree Clean Energy Solutions)	Rs 700 Cr	1 GW plant, Dungri FY27 startup
RE Power Infra / IPP (Waaree Forever Energies)	Rs 3,250 Cr	IPP portfolio for marquee clients
Transformers (Waaree Transpower, 64% stake)	Rs 192 Cr	9,530 to 20,000 MVA capacity
Smart Meters (Waaree Smart Meters, 76% stake)	Rs 53 Cr	Acquisition
Inverters	Rs 180 Cr	3 GW to 4 GW capacity
Polysilicon (Oman stake)	Rs 270 Cr	FEOC compliant upstream supply

Of consolidated revenue, subsidiaries contributed 12% in FY25, rising to **21% in FY26** , standalone revenue grew 64.4% YoY while consolidated grew **faster at 83.7%** showing subsidiaries growing well ahead of the parent. US subsidiary, Waaree Solar Americas Inc. turnover rose nearly 8x (from **₹434 Cr to ₹3,445 Cr**), helped by US 45X manufacturing credits (₹350 Cr).

Waaree is **putting** nearly **all of its growth capex**, over Rs 30,000 Cr organic plus about Rs 2,000 Cr in acquisitions, **through its subsidiaries** spanning battery storage, glass, electrolysers, transformers, smart meters and IPP infrastructure, even though most of these units still generate little to no revenue today.

Geographic Presence



Waaree's manufacturing footprint is concentrated in **Gujarat**, with additional capacity in Noida and the US. Its international expansion through **Arizona, Oman, and the UAE** provides avenues for capacity growth, upstream supply-chain access, and regional market penetration. Alongside exports to Canada and Italy, its **Vietnam EPC project** demonstrates a move beyond module sales into project execution, supporting broader international growth.

Company Outlook

Recent key milestones

Scaled solar module **manufacturing capacity** to approximately **25.8 GW**, reinforcing Waaree's position in the solar manufacturing industry.

Progressed towards a **10 GW integrated ingot-wafer facility** in Nagpur, strengthening control over the upstream solar supply chain.

Acquired a strategic **stake in a non-Chinese polysilicon manufacturer** to support supply-chain diversification and reduce dependence on concentrated sourcing.

Commenced operations at a **15 MWh battery energy storage system** (BESS) container facility in Gujarat, broadening its clean-energy portfolio beyond solar.

Initiated development of **10 GW solar cell manufacturing capacity in the US and Oman**, expanding its international manufacturing footprint.

Future growth prospects

Growing **solar adoption in India and overseas** provides an opportunity to convert expanding demand and the order pipeline into sustained revenue growth.

Greater **vertical integration** can reduce reliance on external suppliers, strengthen supply-chain resilience and support margins as production scales.

International operations can broaden Waaree's customer base, reduce dependence on a single market, remove tariff risks and create access to new solar demand opportunities.

Research into TOPCon, HJT and perovskite tandem technologies could improve module efficiency and help Waaree remain competitive as solar technology evolves.

Expansion into battery storage, inverters and green hydrogen electrolysers could create additional revenue streams beyond solar modules.

Sector Overview

The renewable energy sector is expanding rapidly, with global installed capacity reaching **5,149 GW by end-2025** (up 15.5% y/y), now making up 49.4% of total global power capacity, versus 46.3% in 2024. India is growing even faster as its renewable energy market is projected to grow at an **8.16% CAGR**, from **USD 25.95 billion in 2025 to USD 52.58 billion by 2034**, This is driven by surging electricity demand, with India's peak demand hitting an all-time high of 256.1 GW in April 2026 and projected to grow at a 5.58% CAGR to **459 GW by FY2035-36**. Renewables are set to meet most of this incremental demand: non-fossil generation's share, currently 29.2%, is projected by the CEA to rise to **44% by FY2029-30** ,

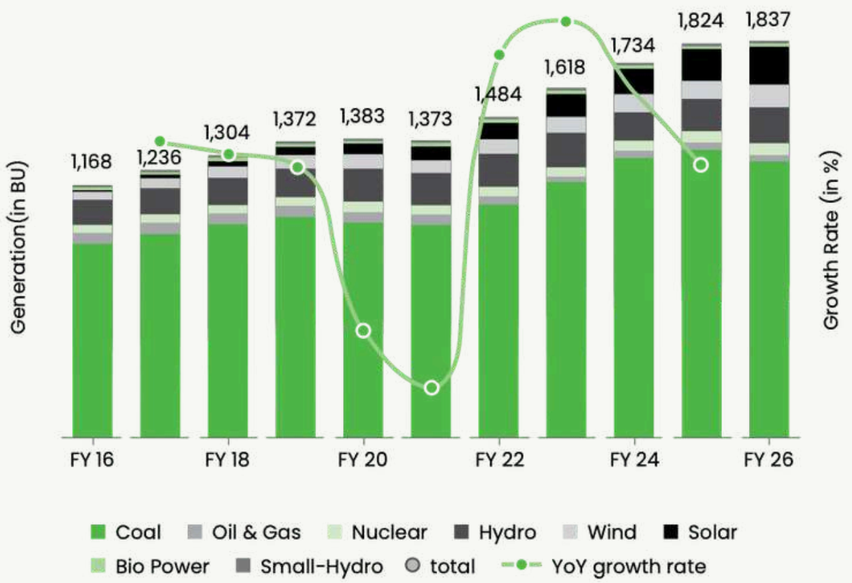
Key Industry Drivers

Government support: PLI (₹24,000 crore), **ALMM** (modules/cells/wafers), and Basic Customs Duty are driving domestic manufacturing scale-up and reducing import dependence.

Growing demand: India's peak power demand hit an all-time high of **256.1 GW (April 2026)** and is set to nearly double by FY36, with renewables positioned to absorb most of this incremental load.

Domestic manufacturing: India's module capacity has scaled from **2.3 GW (2014) to 100+ GW**, with BESS, inverters, and green hydrogen opening new addressable markets for integrated players like Waaree.

Source-wise Electricity Generation Trends
From 2015-16 to 2025-26 (as on March 31, 2026) (in BU)



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Macroeconomic Factors & Outlook:

India added a record **44.6 GW** of solar in FY26, up **from 23.8 GW in FY25** and 15 GW in FY24, taking total solar capacity to 150.26 GW. Against the 500 GW non-fossil target for 2030, the country is at 283 GW, so the pace of additions has to stay high. As the largest domestic supplier, Waaree is best placed to capture this demand.

Waaree is building 4.2 GW of US module capacity by FY27 across Texas and Arizona. In Q1FY27, 82% of overseas revenue came from US-made modules. Management expects these to earn about **7 cents/W, against 4 to 5 cents/W on exports**, helped by IRA incentives. With **36% of the order book from US customers**, local production gives Waaree a strong position in the largest export market.

ALMM List II (cells) came into force in June 2026, and List III (ingots and wafers) follows in June 2028. Both **favour integrated players**. Waaree's **10 GW ingot** and wafer plant at Nagpur fits this timeline, and the share of **DCR sales** in its domestic revenue has already risen to 46% in Q1FY27. The **₹24,000 Cr PLI programme**, which gave Waaree ₹1,923 Cr, supports this integration further.

India's power use per person is still **only 39% of the global average**. PM Surya Ghar **(₹75,021 Cr**, targeting 10 million homes and 30 GW of rooftop solar) is opening up demand from households. Data centres, EVs and green hydrogen are adding further demand. Higher oil prices are also making **energy security a priority,** which strengthens the case for solar.

The US has set a**nti-dumping duties of 123% on Indian solar imports,** and the final ruling is still pending. Waaree is largely shielded, since 82% of its overseas revenue now comes from its US plants. At home, **Chinese overcapacity** and new domestic capacity are pushing **module prices down**, and uncertainty around rolling out ALMM List II pulled module utilisation down to 56% in Q1FY27.

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Global Market Growth

Hydrogen market

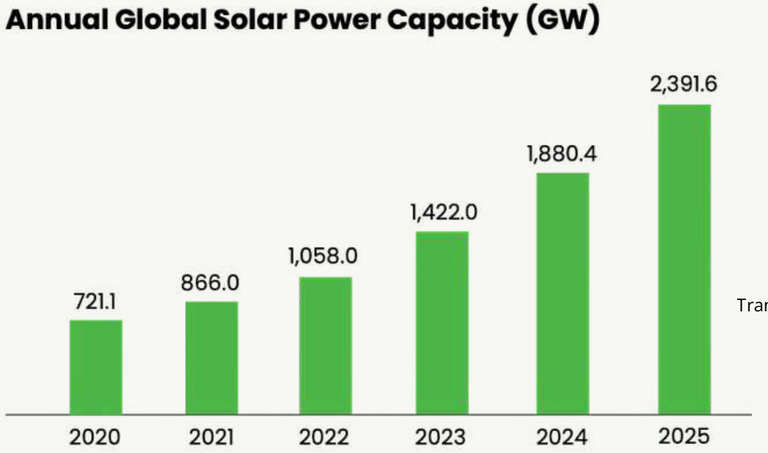
Green hydrogen looks like one of the biggest emerging markets, global market is projected to grow from **$12 billion today to $231 billion annually by 2035,** while India is still very early in it, targeting **40–60 GW of electrolyzer demand by 2030** under its National Green Hydrogen Mission

Inverter market

Inverters round out a more modest but still healthy growth, the global market is expected to nearly triple from **$16 billion to $46 billion by 2035**, while India's market, though much smaller in absolute terms, is still set to grow from about **$1 billion to $1.6 billion.**

Solar market

The global solar market alone is set to scale from **2.5 TW of installed capacity in 2025 to 8 TW by 2035**, with annual additions going from **698 GW to 993 GW** worldwide. India's growth story looks even greater on a relative basis, with yearly additions more than doubling from 38 GW to over 100 GW in the same window, and the country already **added a record 44.6 GW in FY26** alone, pushing cumulative capacity to 150.3 GW.



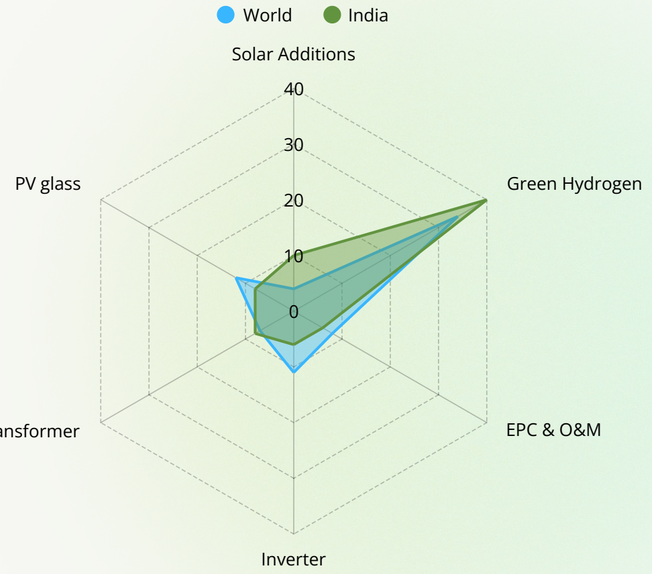


fig:- Expected CAGR of the markets till 2035 in India and the world

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SWOT

Strengths

- Largest module capacity in India with ALMM leadership
- Integrated cell–module platform
- **25 GW order book** with multi-year visibility
- Strong balance sheet and **20%+ margins**
- US manufacturing presence

Weaknesses

- Revenue concentrated in a **single product modules**
- Import dependence for **wafers and polysilicon**
- Customer and US-market concentration
- Execution risk on multiple large capex projects

Opportunities

- India's **500 GW non-fossil target by 2030**
- ALMM List-II for cells favouring integrated players
- US demand under **IRA domestic-content rules**
- BESS, inverters and green-hydrogen adjacencies
- PLI incentives for integrated manufacturing

Threats

- US tariff, AD/CVD and FEOC policy shifts
- Chinese overcapacity and **module price deflation**
- Technology transitions (TOPCon to HJT/tande m)
- **Domestic capacity overbuild** compressing margins
- Raw material and FX volatility

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Porter's Five forces

Competitors

High

Waaree faces intense pricing pressure from large, partially integrated rivals (Premier Energies, Vikram Solar, etc.) despite 84% FY26 revenue growth, EBITDA margins have swung sharply (25.5% in Q3 FY26 to 18.15% in Q1 FY27). The market has priced this negatively: the stock is down ~37% from its 52-week high to ~₹2,347.

Substitutes

Low

The bigger substitution **risk is technology shift**, not a different energy source, Waaree is investing in TOPCon cells (23.51% efficiency) to keep up. **Cheaper Chinese-origin cells/modules** (~$0.04-0.045/watt vs Waaree's $0.07-0.08/watt) remain a persistent substitute wherever **trade barriers don't block them.**

Buyers

Moderate

Customer diversification (Utility/IPP/C&I ~35-40%, Retail ~20-30%, Overseas ~21-33%, EPC ~9-12%) **limits buyer control.** But export buyer power is rising like the **US's 249.13% anti-dumping duty gives Waaree no company-specific rate**, letting buyers switch sourcing countries, while global oversupply keeps pricing under pressure industry-wide.

Suppliers

High

Waaree's **cell integration is only 20% (rising to 65% in next 2-3 quarters)**, leaving it reliant on external supply. This hit Q1 FY27 margins as **material costs rose 63.5% YoY**, dragging **EBITDA margin from 22.53% to 18.15%** despite 79% revenue growth. India's cell-module capacity gap (31-37 GW vs 193-261 GW) could keep **input costs elevated industry-wide.**

New Entrants

Moderate

Entry requires **heavy capital** as **Waaree alone is spending over ₹30,000 crore ($3.5B)** on cell, ingot-wafer, glass and battery capacity, showing how costly backward integration is. But **module assembly is far easier**: India's module capacity (261.7 GW) now vastly outstrips cell capacity (36.6 GW), showing **basic assembly is accessible even as deeper integration stays hard.**

Challenges and Breakthroughs

Challenges

Waaree **lost a US customs ruling** over alleged tariff evasion on solar cells from Vietnam and Malaysia (2021–June 2026), triggering anti-dumping duties of up to **271.28% on affected imports**, The **stock fell 5.55%** on the news**,** and the retrospective duty amount plus appeal outcome remain key risks to watch.

Q4FY26 saw softer realizations, with margin contraction driven by **higher commodity costs** (silver, copper), higher cell cost, tariffs and elevated logistics costs amid Middle East disruptions, and **lower export contribution to the revenue**

Rising competition from Adani, Reliance could **pressure ~25% EBITDA margins in late 2026**

Separate **123.04% preliminary US anti-dumping duty** on India-origin solar imports

Breakthroughs

To avoid dependence on imports and facing difficulty in Tariff policies Waaree's **US capacity** is set to scale up to **4.2GW over the next six months**, enhancing its presence in the US market, alongside a **$37 million capital expenditure** to upgrade its Arizona module facility.

A shift from being a module manufacturer to a **integrated renewable energy company**, investing across the solar chain, from **polysilicon to modules**, It aims to reduce dependence on China, with plans to source **polysilicon from its Oman facility.**

First-mover scale advantage in Indian solar manufacturing compared to it's peers.

Domestic ALMM mandates (cells from Jun 2026, ingots/wafers from 2028) **boost local demand**

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Balance Sheet Analysis

Particulars	Mar-23	Mar-24	Mar-25	Mar-26
ASSETS				
Property, Plant & Equipment	991.22	1,149.35	3,585.11	6,046.67
Capital Work-in-Progress	537.04	1,341.29	1,883.99	3,476.15
Goodwill & Intangibles	13.66	13.27	10.65	49.28
Other Non-current Assets	425.92	796.74	1,110.81	2,966.27
Total Non-current Assets	**1,967.84**	**3,300.65**	**6,590.56**	**12,538.37**
Inventories	2,708.87	2,585.53	2,692.11	5,855.64
Trade Receivables	312.61	971.39	1,184.77	2,492.32
Cash & Bank Balances	1,736.41	3,779.17	7,747.82	6,728.37
Other Current Assets	725.05	676.99	1,532.12	2,500.67
Total Current Assets	**5,482.94**	**8,013.08**	**13,156.82**	**17,577.00**
TOTAL ASSETS	**7,450.78**	**11,313.73**	**19,747.38**	**30,115.37**
EQUITY & LIABILITIES				
Equity Share Capital	243.37	262.96	287.28	287.65
Other Equity (Reserves)	1,595.04	3,824.85	9,191.92	14,149.69
Non-controlling Interest	23.44	60.68	116.08	573.55
Total Equity	**1,861.85**	**4,148.49**	**9,595.28**	**15,010.89**
Borrowings (Long + Short-term)	273.48	317.32	939.46	2,491.53
Lease Liabilities	46.79	236.06	259.53	721.09
Trade Payables (incl. LC/supplier credit)	2,129.77	2,013.82	2,548.29	3,587.08
Other Liabilities & Provisions	3,138.89	4,598.04	6,404.82	8,304.78
Total Non-current Liabilities	**628.83**	**1,742.10**	**1,365.96**	**2,396.78**
Total Current Liabilities	**4,960.10**	**5,423.14**	**8,786.14**	**12,707.70**
TOTAL EQUITY & LIABILITIES	**7,450.78**	**11,313.73**	**19,747.38**	**30,115.37**

The asset base has grown **fourfold**. Total assets rose from ₹7,451 Cr to ₹30,115 Cr over FY23 to FY26. Plant and capital work-in-progress grew from ₹1,528 Cr to ₹9,523 Cr, covering **new cell lines, US plants and module expansion**. **₹3,476 Cr of capital work-in-progress is still to be commissioned**, which supports future revenue.

Waaree holds **more cash than debt**. Cash, bank balances and current investments total ₹7,389 Cr, against ₹3,213 Cr of debt including leases. That's net cash of about ₹4,176 Cr. **Borrowings to equity is only 0.17**, and equity rose to ₹15,011 Cr after the ₹4,321 Cr IPO in October 2024.

A stronger equity base and comfortable liquidity. Shareholders' equity grew eightfold, from **₹1,862 Cr to ₹15,011 Cr**, over FY23 to FY26. **Equity** now funds about **50% of total assets, up from 25% in FY23**. Liquidity is comfortable too: current assets of ₹17,577 Cr cover current liabilities of ₹12,708 Cr by **1.38x.** The largest current assets are inventory (₹5,856 Cr) and bank balances (₹5,954 Cr).

Plant and capital work-in-progress grew by ₹4,054 Cr in FY26, broadly matching the ₹4,882 Cr capex, so the negative free cash flow has gone into real assets. With ₹3,476 Cr still to be commissioned, these investments have yet to show up in revenue.

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Income Statement Analysis

Particulars	FY23	FY24	FY25	FY26
Revenue from Operations	6,750.87	11,397.61	14,444.50	26,536.77
Other Income	109.49	235.15	401.56	708.15
Total Income	**6,860.36**	**11,632.76**	**14,846.06**	**27,244.92**
Cost of Materials Consumed	5,897.32	8,356.49	8,263.19	16,910.94
Purchases of Stock-in-Trade	260.67	965.31	1,273.84	1,587.71
Changes in Inventories	(1,006.90)	(561.99)	652.79	(1,954.97)
Cost of Goods Sold (COGS)	**5,151.09**	**8,759.81**	**10,189.82**	**16,543.68**
Gross Profit	**1,599.78**	**2,637.80**	**4,254.68**	**9,993.09**
Other Manufacturing & EPC Expenses	165.24	254.05	330.95	1,537.26
Employee Benefits Expense	123.79	177.15	318.17	599.25
Sales, Admin & Other Expenses	476.10	632.18	883.92	1,947.94
EBITDA	**834.65**	**1,574.42**	**2,721.64**	**5,908.64**
Depreciation & Amortisation	164.13	276.81	402.45	989.72
EBIT (Operating Profit)	**670.52**	**1,297.61**	**2,319.19**	**4,918.92**
Finance Costs	82.27	139.91	152.09	280.50
Profit Before Exceptional Items & Tax	697.75	1,392.86	2,568.66	5,346.57
Exceptional Items	(20.58)	341.34	(4.02)	(294.78)
Profit Before Tax (PBT)	**677.17**	**1,734.20**	**2,564.64**	**5,051.79**
Total Tax Expense	176.87	459.82	636.51	1,167.64
PROFIT AFTER TAX (PAT)	**500.30**	**1,274.38**	**1,928.13**	**3,884.15**
Attributable to Owners	482.78	1,237.18	1,867.39	3,711.30
EPS, Basic (₹)	21.82	48.05	68.24	129.10
KEY MARGINS				
Gross Margin (%)	23.7%	23.1%	29.5%	37.7%
EBITDA Margin (%)	12.4%	13.8%	18.8%	22.3%
PAT Margin (%)	7.4%	11.2%	13.4%	14.6%

YoY growth went **68.8% (FY24) → 26.7% (FY25) → 83.7% (FY26)** - the FY25 dip was due to **export decline** which got now **majorly covered** by US local manufacturing in **Texas**.

COGS as a % of revenue fell from **76.3% (FY23) to 62.3% (FY26)** - this **input-cost efficiency** is one of the main driver behind **EBITDA margin** rising from **12.4% to 22.3%**.

26.1% (FY23) to 23.1% (FY26) a mid but **consistent PAT growth,** linked to the company's expanding US manufacturing base (different tax treatment) alongside domestic incentive structures.

EBITDA grew **7.1x and PAT grew 7.8x over FY23–FY26**, versus revenue's 3.9x that means each rupee of i**ncremental marginal revenue is converting into more profit**.

The negative free cash flow is buying growth that's already visible: FY25's ₹3,274 Cr capex drove a ₹3,187 Cr rise in FY26 EBITDA, with margins up to 22.3%. Today's cash outflow is turning into tomorrow's profit.

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Cash Flow Statement Analysis

Particulars	FY23	FY24	FY25	FY26
Profit Before Tax	677.17	1,734.20	2,564.64	5,051.79
Add: Depreciation & Amortisation	164.13	276.81	402.45	989.72
Add: Finance Costs (incl. lease interest)	57.99	93.34	76.60	168.52
Other Non-cash & Working Capital Adj. (net)	761.29	535.75	857.32	(3,434.04)
Cash Generated from Operations	**1,660.58**	**2,640.10**	**3,901.01**	**2,775.99**
Less: Direct Taxes Paid	(100.35)	(335.08)	(742.80)	(1,149.04)
NET CASH FROM OPERATING ACTIVITIES (A)	**1,560.23**	**2,305.02**	**3,158.21**	**1,626.95**
Capital Expenditure (PP&E & Intangibles)	(865.44)	(1,342.34)	(3,274.10)	(4,881.77)
Other Investing Activities (net)	(1,377.07)	(1,997.91)	(3,534.27)	928.59
NET CASH USED IN INVESTING ACTIVITIES (B)	**(2,242.51)**	**(3,340.25)**	**(6,808.37)**	**(3,953.18)**
Proceeds/(Repayment) of Borrowings, net	(150.80)	41.64	622.13	1,552.07
Proceeds from Issue of Equity, net	1,019.36	1,003.47	3,508.02	1,540.45
Lease & Interest Payments / Other (net)	(77.39)	(135.92)	(94.41)	(519.41)
NET CASH FROM FINANCING ACTIVITIES (C)	**791.17**	**909.18**	**4,035.74**	**2,573.11**
NET INCREASE/(DECREASE) IN CASH (A+B+C)	**108.88**	**(126.05)**	**385.58**	**246.88**
KEY CASH FLOW METRICS				
Free Cash Flow (OCF − Capex, ₹ Cr)	694.79	962.68	(115.89)	(3,254.82)
Operating Cash Flow Margin (%)	23.1%	20.2%	21.9%	6.1%
FCF / PAT (%)	138.9%	75.5%	(6.0%)	(83.8%)
Operating Cash Flow / Total Debt (x)	4.87x	4.17x	2.63x	0.51x

OCF has been positive every year but **dipped in FY26**. OCF was positive in all four years, peaking at ₹3,158 Cr in FY25. In FY26 it fell to ₹1,627 Cr because ₹3,434 Cr went into working capital, mainly inventory**, Investors expect inventory to get de-stock by FY27,** which should push operating cash flow back up.

FCF is negative while capacity is being built. Capex rose from ₹865 Cr to ₹4,882 Cr, taking FY26 FCF to -₹3,255 Cr. **This is part of a ₹31,500 Cr capex plan through FY29**, covering cells, wafers, BESS and US expansion. Management expects FCF to turn positive by FY28 as capex off-loads

Cumulative operating cash flow of **₹8,650 Cr covered about 83% of the ₹10,364 Cr capex over FY23 to FY26**. Waaree only needed ₹2,573 Cr of net financing in FY26, during the peak of its expansion.

Negative free cash flow in FY26 reflects a deliberate investment phase, not weak operations, since operating cash flow has stayed positive every year. As capex peaks in FY27 and inventory unwinds, we expect free cash flow to turn positive by FY28.

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Important Ratios

Ratio	FY23	FY24	FY25	FY26
Gross Margin (%)	23.7%	23.1%	29.5%	37.7%
EBITDA Margin (%)	12.4%	13.8%	18.8%	22.3%
PAT / Net Margin (%)	7.4%	11.2%	13.4%	14.6%
ROCE (%)	26.9%	22.0%	21.2%	28.3%
ROA (%)	6.7%	11.3%	9.8%	12.9%
OCF Margin (%)	23.1%	20.2%	21.9%	6.1%
Net Cash from Ops (₹ Cr)	1,560	2,305	3,158	1,627
OCF / Total Debt (x)	4.87x	4.17x	2.63x	0.51x

Ratio	FY23	FY24	FY25	FY26
Current Ratio (x)	1.11x	1.48x	1.50x	1.38x
Quick Ratio (x)	0.56x	1.00x	1.19x	0.92x
Asset Turnover Ratio (x)	0.91x	1.01x	0.73x	0.88x
Inventory Days (DIO)	192	108	96	129
Receivable Days (DSO)	17	31	30	34
Payable Days (DPO)	151	84	91	79
Cash Conversion Cycle (days)	58	55	35	84
Revenue (₹ Cr)	6,751	11,398	14,444	26,537

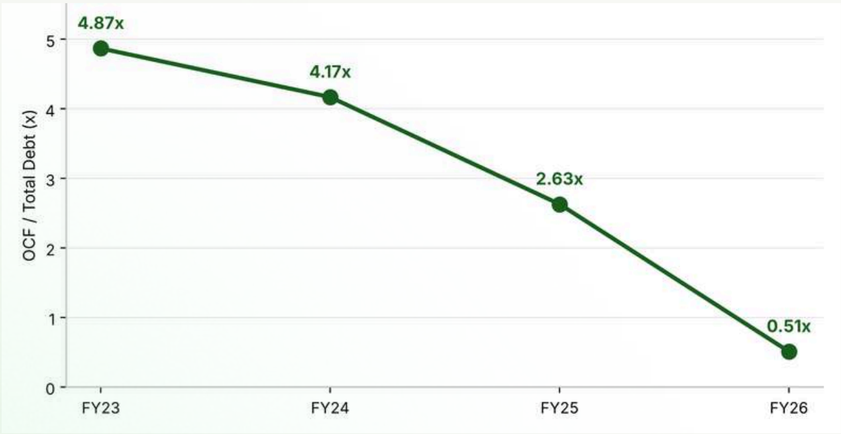
Ratio Analysis

OCF Margin



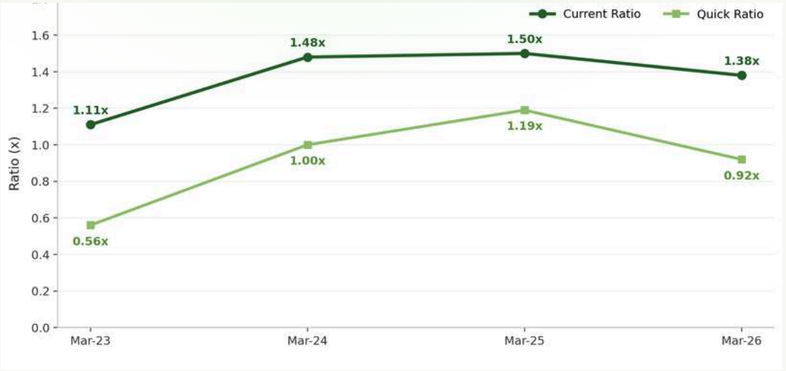
Operating cash flow grew from ₹1,560 Cr to a peak of **₹3,158 Cr in FY25 before falling back to ₹1,627 Cr in FY26**, and the margin line shows it clearly, it held a healthy 20-23% through FY25, then collapsed to **6.1% in FY26** as the **inventory build-up** for the capacity ramp absorbed cash that would otherwise have flowed through as operating cash.

OCF/Total Debt



This coverage ratio fell steadily from a very comfortable **4.87x in FY23 to just 0.51x in FY26 as debt has grown faster than the cash flow available** to service it in every single year, with the steepest drop in FY26 reflecting both the **near-doubling of borrowings** and the sharp **OCF decline** hitting at the same time.

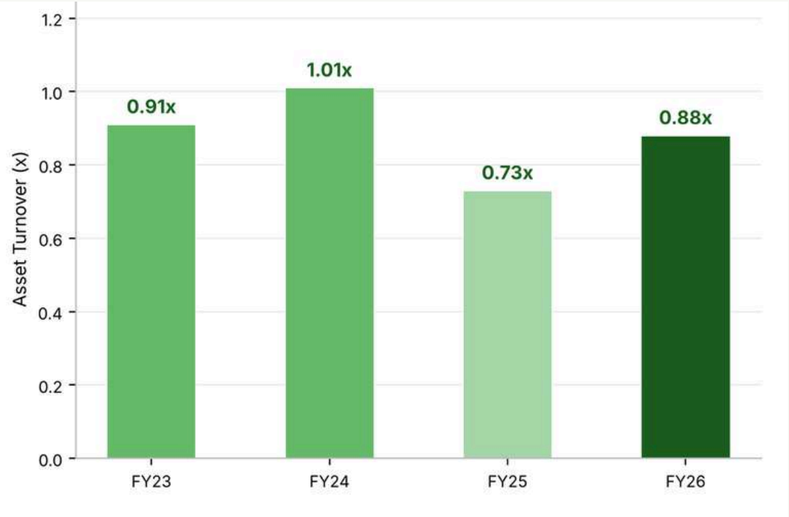
Liquidity ratios



Waaree's **current ratio of 1.38 and quick ratio of 0.92 in FY26** are well above FY23 levels of 1.11 and 0.56. The FY26 dip reflects a **temporary inventory build-up**, while ₹6,728 Cr of cash and bank balances covers over half of current liabilities, so **short-term liquidity remains comfortable**.

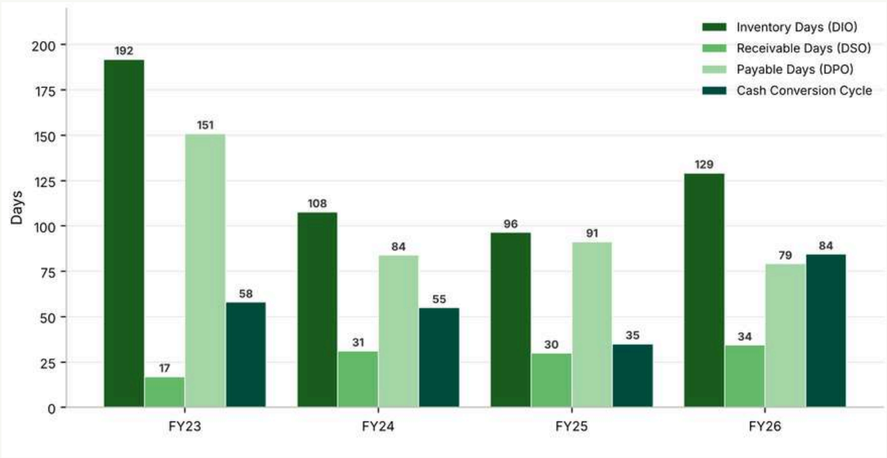
Ratio Analysis

Asset Turnover Ratio



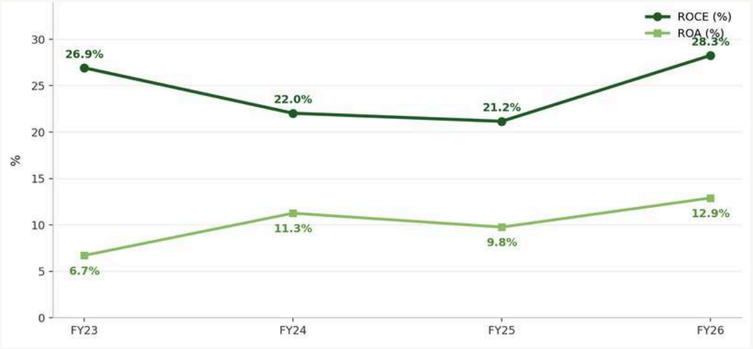
Revenue generated per rupee of assets fell to a low of **0.73x in FY25 as capex additions outpaced revenue growth**, then recovered to 0.88x in FY26 as the **new capacity began contributing to sales.**

Working Capital Efficiency



Waaree's cash conversion cycle improved from **58 days in FY23 to 35 days in FY25 as inventory days fell from 192 to 96**. It rose to 84 days in FY26 on delayed export shipments and the cell transition, which management sees as temporary. **Receivable** days stayed steady at **30 to 34 days**, so collections remain healthy.

ROCE & ROA

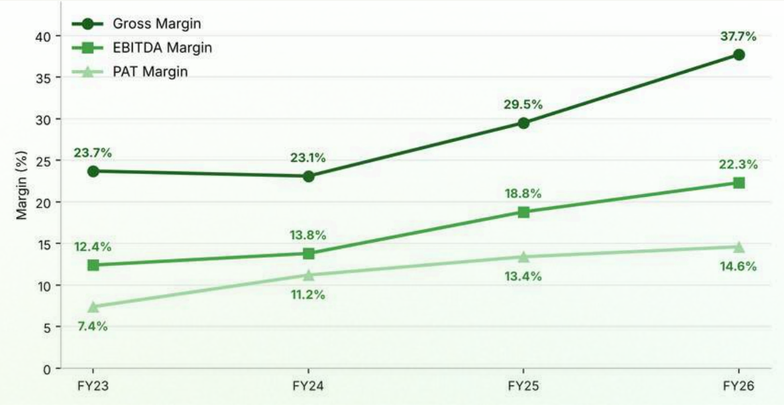


ROCE slipped from **26.9% in FY23 to 21.2% in FY25** as the company poured money into new capacity, then rebounded to 28.3% in FY26 as that capacity started earning. **ROA more than doubled from 6.7% to 12.9%** over the same period, which shows the expanded **asset base is generating better returns**.

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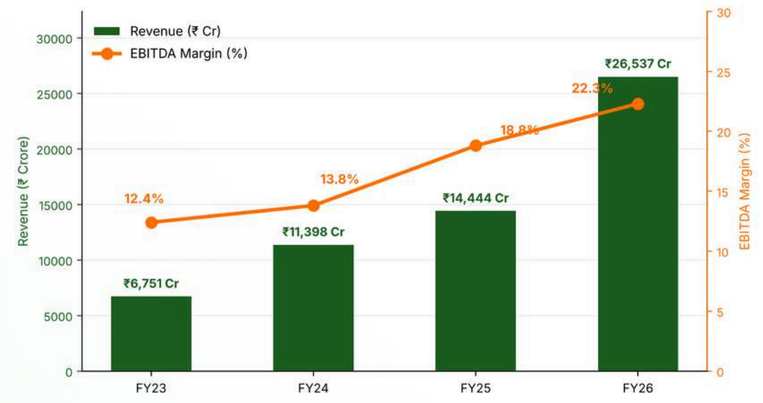
Ratio Analysis

Margin expansion



All three margins expanded every year (**Gross from 23.7% in fy23 to 37.7% in fy26, EBITDA from 12.4% to 22.3% and PAT from 7.4%to 14.6%**), with the widening gap between Gross and EBITDA margin showing **Opex being managed efficiently and not decreasing the gains** coming down from better product mix/pricing.

Revenue growth vs EBITDA margin



Revenue nearly quadrupled **(from ₹6,751 Cr in fy23 to ₹26,537 Cr in fy26)** while EBITDA margin simultaneously expanded by ~10pp, confirming this is serious **operating margin improvement rather than some cost cuts**. Growth and profitability are simultenously increasing, not trading off against each other.

Ratio Analysis

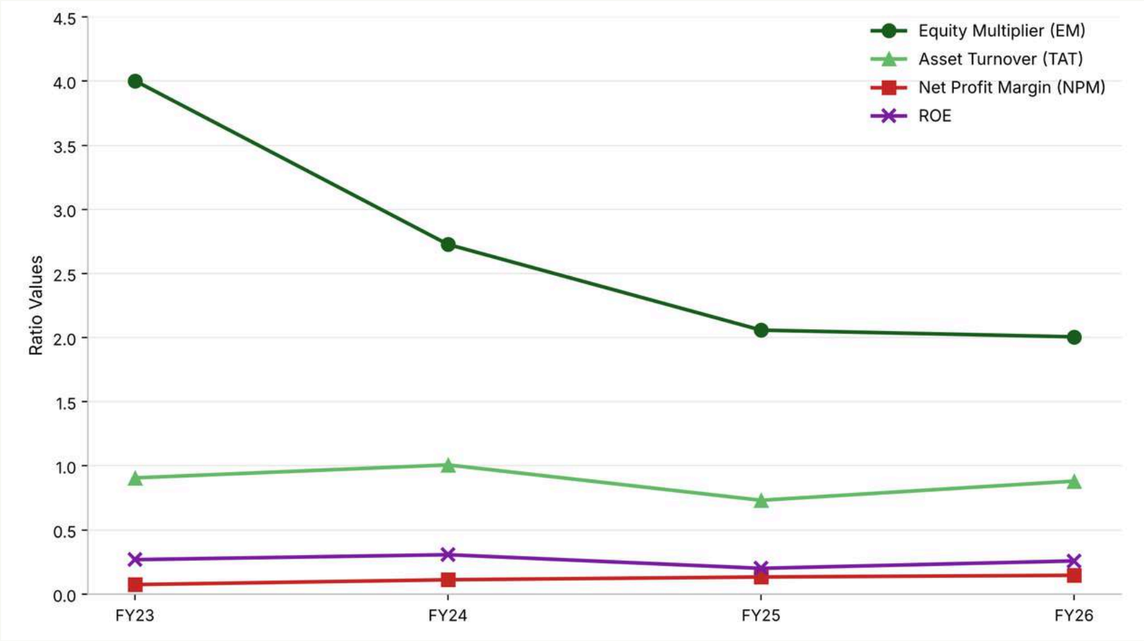


P/E compression

At ₹2,451 as of 13th october 2026, Waaree trades at a **P/E of 17.6x** roughly half its **32.9x median multiple** since listing even as TTM EPS has more than doubled, from ₹63 to ₹132.7, on consistent profit growth through FY25-FY26. **Earnings have strengthened while the multiple has compressed**. A reversion to the historical median of 32.9x on current EPS would imply fair value near ₹4,350

Dupont Analysis

$$\text{Return on Equity (ROE)} = \frac{\text{Net Income}}{\text{Revenue}} \times \frac{\text{Revenue}}{\text{Average Total Assets}} \times \frac{\text{Average Total Assets}}{\text{Average Total Equity}}$$



ROE has stayed **range-bound at 20–31%**, but the reason is the balance sheet, not weak profitability.

The equity multiplier has halved from **4.0x to 2.0x** as equity capital quadrupled, largely **offsetting the margin** gains.

Net **margin** has roughly doubled from **7.4% to 14.6%**, a clear sign of strengthening operating fundamentals.

The headline ROE understates the improvement as the shift to a more **conservative capital structure** is masking the underlying gains in profitability.

Waaree's ROE now more sustainable. As new capacity starts earning, rising asset turnover on top of a low-debt balance sheet should let the stronger fundamentals show through in the headline ROE.

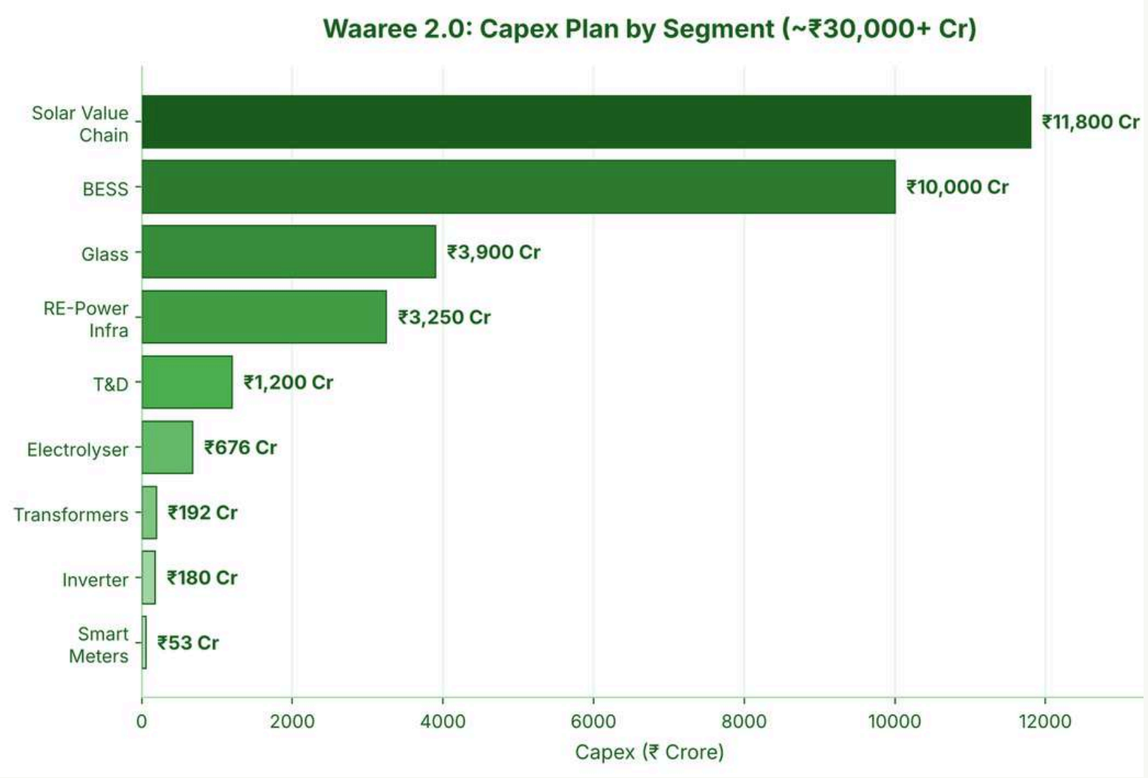
Concalls Summary

US tariffs

On exports Waaree's margin is only ~$0.04–0.05/watt peak, while **US local** manufacturing is ~$**0.07–0.08/watt** net EBITDA margin split between $0.055–0.06/watt of operating margin plus **$0.07/watt** of incremental IRA **(45X)** realization (per unit the two don't simply add, since structural **conversion** cost in the US is approximately **$0.06/watt.**

Capex

The capex is heavy (₹30000 crore over 3 years) because Waaree is trying to **vertically integrate across the entire value chain** -cells, ingots/wafers, glass, batteries -in one go, which requires **building several large facilities simultaneously** rather than one by one, cell capacity(FY27) since it drives near-term margin, deeper upstream integration (**ingots/wafers, glass, batteries) later (FY28-29)**.



TAM increase

Management reiterated that backward/forward integration across the value chain (cells, wafers, BESS, transformers, T&D, electrolyzer) is expected to roughly double the addressable market from ~$1 trillion to ~$2 trillion by 2030

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ESG and CSR initiatives

ESG Rating: 66 / 100 | **EcoVadis: Gold Medal (98th percentile)** | **CARE Rating: AA- (Stable)**

SUSTAINABILITY & ESG TARGETS

Net Zero 2030	Scope 1 and 2 emissions, on track (Scope 3 by 2040)
100%	Renewable energy target by 2030
13%	Share of energy from renewables in FY26
~39,000 KL	Water saved in FY26
Zero Landfill	Waste to landfill status maintained
EPD Certified	First Indian company with cradle-to-grave LCA

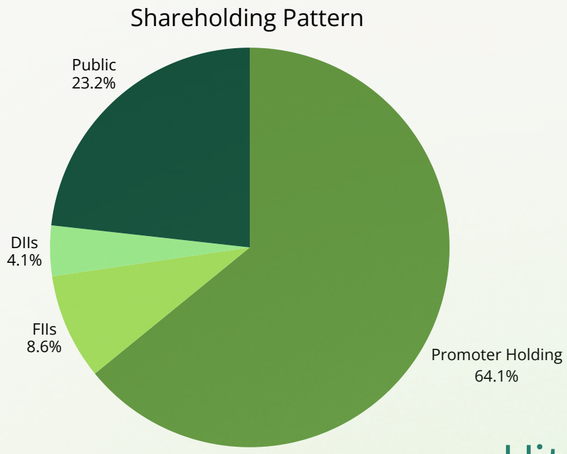
- Renewable use is rising, with **19,702 MWh consumed in FY26** and rooftop solar being added at Chikhli and Nagpur
- Lifecycle assessment and **EPD certification** classify Waaree's **modules as ultra-low-carbon**.
- Diesel use **fell 7%** despite growth as handling equipment moves to electric vehicles, and **95% of suppliers were assessed on ESG**

CSR & COMMUNITY IMPACT

₹38.32 Cr	CSR spend in FY26
43,700+	Beneficiaries
7,500	Saplings planted in Gujarat
500+	People fed daily by the food truck

- Spend of **₹34.24 Cr beat the ₹30.12 Cr** statutory minimum, with nothing left unspent
- Education is the biggest focus, including **₹19 Cr for university land** in Maharashtra and fees paid for 328 students
- Food, healthcare and village infrastructure near the Chikhli plant (**RO water plant, school renovation**) round out the work

Shareholding Pattern



Chairman and Managing Director



Hitesh Chimanlal Doshi

With over two decades of experience in the engineering industry, he drives financial performance, business expansion and key policy and legal frameworks.

Whole-Time Director & CEO



Dr. Jignesh Rathod

Responsible for managing operational functions, with a focus on optimising operational processes. Prior experience brings valuable insight into maximising productivity and quality.

Shareholding Pattern	Dec 2024	Mar 2025	Jun 2025	Sep 2025	Dec 2025	Mar 2026	Jun 2026
Promoters	64.31%	64.31%	64.31%	64.22%	64.22%	64.19%	64.12%
FIIs	1.40%	0.70%	2.68%	6.35%	6.91%	7.06%	8.57%
DIIs	2.70%	2.46%	2.86%	2.82%	2.86%	4.32%	4.08%
Public	31.58%	32.53%	30.15%	26.60%	26.01%	24.44%	23.23%
No. of Shareholders	**7,67,963**	**8,51,028**	**7,67,267**	**6,90,025**	**6,95,699**	**6,83,301**	**7,31,601**

Promoters holding a stable 64% stake with zero pledge, and institutional ownership rising from about 4% to over 12.6%, point to **growing market confidence in Waaree's integrated growth story** and long-term earnings visibility.

Waaree's shareholding has shifted clearly towards institutions since its October 2024 listing. **FII holding rose from 1.40% to 8.57%,** about six times in 18 months, and **DIIs** went from **2.70% to 4.08%**. Most of this came from retail investors, whose public holding fell from 31.58% to 23.23%. **Promoters have held steady** at around 64% throughout, with **no shares pledged**. That shows continued promoter confidence while institutions build their positions.

WAAREE
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Peer Analysis

Scale and integration moat

Waaree is India's largest module maker with 25.8 GW, over **3x Emmvee and 5x Premier or Saatvik**. It is also the **only Indian** peer with **US manufacturing,** and is integrating backward into cells, ingots and wafers. These steps are costly enough that smaller players will struggle to match them.

Financial strength

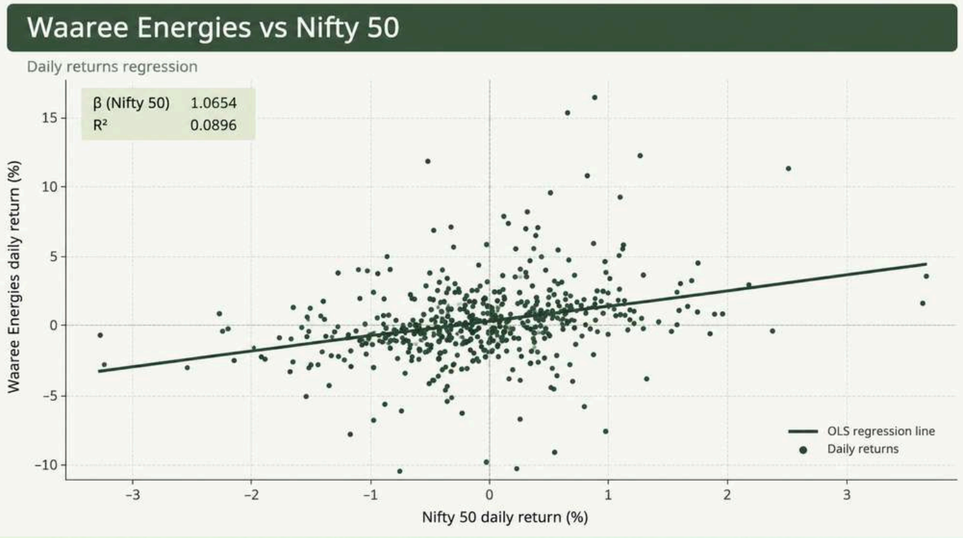
Waaree has the **highest interest coverage** among its peers (19.25x) and a Debt/Equity of **0.22, far below Premier (0.86) and Saatvik (0.69)**. That gives it room to fund its expansion comfortably. ROCE of 38.45% and ROE of 32.54% stay among the best in the sector, even at its much larger scale.

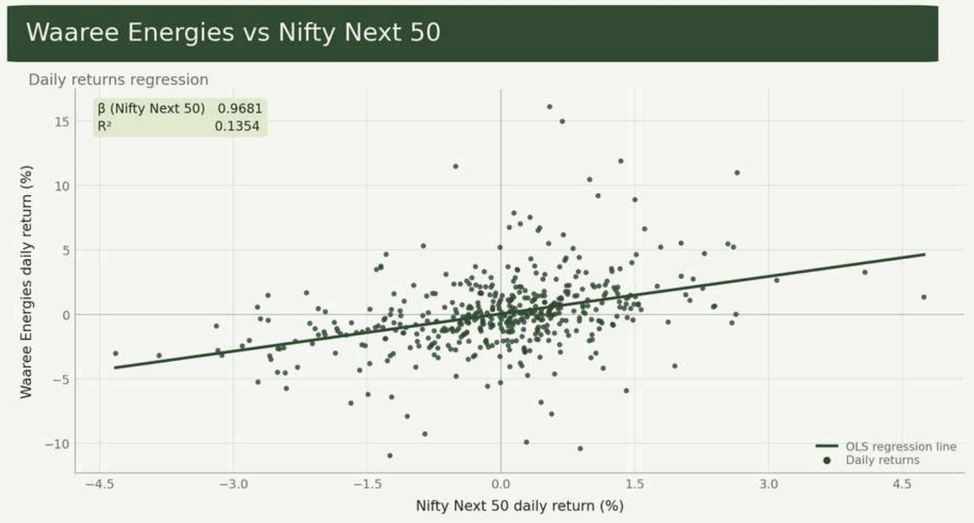
Valuation

Waaree trades at a **P/E of 16.78** and an EV/EBITDA of 9.07. That is cheaper than Premier (24.79 / 15.62) and Saatvik (20.35 / 13.29), **even though Waaree is the market leader**. We see room for a re-rating as the new cell and battery storage capacity starts adding to earnings.

S.No.	Company	CMP Rs.	Mkt Cap Rs.Cr.	P/E	EV / EBITDA	ROCE %	ROE %	OPM %	Debt / Eq	Int. Coverage	Quick Ratio
1.	Saatvik Green	398.05	5058.77	20.35	13.29	32.97	42.34	9.68	0.69	5.14	0.95
2.	Emmvee Photovol.	296.70	20524.77	16.11	10.33	44.62	50.72	34.64	0.10	14.91	0.89
3.	Premier Energies	908.85	41273.52	24.79	15.62	32.71	40.99	30.04	0.86	14.25	1.07
4.	Vikram Solar	141.97	5143.26	14.26	5.50	30.56	21.37	15.30	0.19	3.80	1.35
5.	Waaree Energies	2345.00	67538.56	16.78	9.07	38.45	32.54	21.14	0.22	19.25	0.87

Valuation – Beta Calculation





- **Market sensitivity:** Since IPO, Waaree's beta is 1.0654 against Nifty 50 and 0.968 against Nifty Next 50, indicating broadly comparable sensitivity to market movements.
- **Period-wise trend:** Nifty 50 beta declined from 1.065 to 0.742 over the six-month window, suggesting lower recent market sensitivity.
- **Benchmark comparison:** The six-month beta against Nifty Next 50 stands at 0.819, compared with 0.742 against Nifty 50.
- **Valuation implication:** We use the nifty50 regression beta as the starting point for estimating cost of equity under CAPM, with the selected beta applied consistently in the WACC calculation.
- **R² Analysis:** Low R² values (0.0896 and 0.1354) indicate limited explanatory power of both indices, suggesting that Waaree's daily returns are substantially influenced by company-specific factors beyond broader market movements.

Period	vs Nifty 50			vs Nifty Next 50		
Period	Beta (β)	R²	Obs.	Beta (β)	R²	Obs.
Since IPO (~2yr)	1.0654	0.0896	481	0.9681	0.1354	481
1.5 Year	1.0094	0.0966	371	0.8971	0.1237	371
1 Year	0.8901	0.1159	247	0.7735	0.1431	247
6 Months	0.7415	0.0951	126	0.8192	0.1951	126

Valuation – Discounted cash flow

Waaree's FY26 free cash flow was ₹-3,255 Cr as it funds the ₹31,497 Cr Waaree 2.0 programme. A single-stage DCF cannot value negative cash flows, so we forecast each driver until the business reaches a steady state.

STAGE 1 | FY27E–FY29E

Capex build-out

Balance capex of ₹22,047 Cr deployed 30:40:30. Revenue grows 45%, 35% and 23% as cell, module and BESS capacity ramps up.

FCFF of ₹(1,634) Cr in FY27E, positive at ₹2,557 Cr by FY29E

STAGE 2 | FY30E–FY36E

Fade to steady state

Growth tapers to 5%, EBITDA margin eases from 20% to 18%, and capex settles at maintenance level (1.0x D&A).

FCFF rises from ₹6,655 Cr to ₹13,619 Cr

STAGE 3 | BEYOND FY36E

Terminal value

Gordon growth model at 5% terminal growth, discounted at a WACC of 13.88% with mid-year convention.

59% of enterprise value

Intrinsic value per share	Current market price	Upside	WACC | Terminal growth
₹2,915	**2,347**	**24.2%**	**13.88% | 5%**

Key DCF Assumptions

Driver	Assumption	Basis
Revenue growth	45% / 35% / 23% (FY27E–29E)	EBITDA guidance ₹7,000–7,700 Cr (FY27); 16–18 GW output (FY28)
Growth fade	Linear fade to 5% by FY36E	Global solar 4–5% CAGR; India about 10% CAGR to 2035
EBITDA margin	20% (FY27E–31E), 18% by FY36E	CFO: 19–20% is the safest assumption for a decade
Capex FY27E–29E	₹22,047 Cr, phased 30:40:30	Balance of ₹31,497 Cr programme as at 30-Jun-26
Capex FY30E–36E	1.2x D&A, tapering to 1.0x	No guidance beyond FY29; settles at maintenance level
Depreciation	₹1,320 Cr base + capex over 10 yrs	Q1 FY27 D&A of ₹330 Cr annualised; plant life 3–10 years
Working capital	10% of incremental revenue	FY26 outflow of ₹3,140 Cr; close to nil over FY22–26
Tax rate	25.17%	Corporate tax rate under Section 115BAA
Terminal growth	5.0%	Below the 7% risk-free rate; between global and India solar growth

Revenue reaches **₹90,686 Cr by FY31E**, close to management's stated aspiration of nearly ₹1 lakh Cr within four to five years, but since it is aspiration only, we have been conservative in our assumptions, considering any macro uncertainty and other threats we talked about.

Source: Q4 FY26 and Q1 FY27 earnings calls and investor presentations, Annual Report FY2025-26

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Forecast and Free Cash Flow to Firm

₹ Crore	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E	FY36E
Revenue	26,537	38,478	51,946	63,893	76,946	90,686	1,46,601
Growth (%)	83.7%	45.0%	35.0%	23.0%	20.4%	17.9%	5.0%
EBITDA	5,909	7,696	10,389	12,779	15,389	18,137	26,388
EBITDA margin (%)	22.3%	20.0%	20.0%	20.0%	20.0%	20.0%	18.0%
D&A	990	1,651	2,422	3,194	3,750	4,221	7,256
Tax on EBIT	–	(1,522)	(2,005)	(2,412)	(2,930)	(3,503)	(4,816)
Capex	(4,882)	(6,614)	(8,819)	(6,614)	(4,500)	(4,924)	(7,256)
Change in NWC	–	(1,194)	(1,347)	(1,195)	(1,305)	(1,374)	(698)
FCFF	(3,255)	(1,634)	(1,782)	2,557	6,655	8,336	13,619

FCFF turns positive in FY29E

Cash burn peaks in FY28E, when 40% of the balance capex is spent, and reverses as new capacity starts earning.

Capex normalises to maintenance

Capex falls from 4.0x D&A in FY27E to 1.0x by FY36E, so the terminal year reflects a steady-state business.

Cost of Capital and Equity Value

WACC calculation

Component	Value
Risk-free rate	7.00%
Expected market return	14.00%
Beta (adjusted)	1.0327
Cost of equity	14.23%
Pre-tax cost of debt	8.73%
Post-tax cost of debt	6.53%
Weight of equity	95.5%
Weight of debt	4.5%
WACC	13.88%

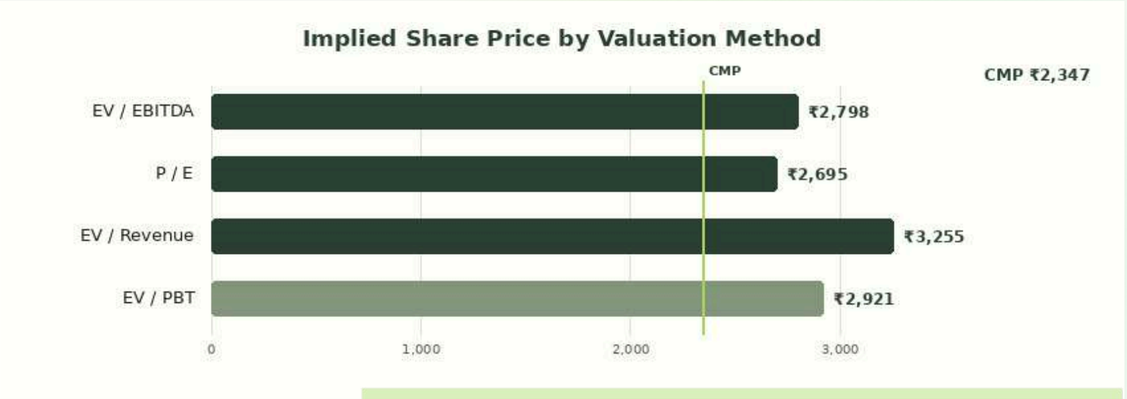
Equity value

₹ Crore	Value
PV of FCFF (FY27E–36E)	33,279
PV of terminal value	47,060
Enterprise value	80,339
Add: Net cash (31-Mar-26)	3,516
Equity value	83,855
Shares outstanding (Cr)	28.77
Intrinsic value per share	₹2,915
Current market price	₹2,347
Upside	24.2%

Cost of equity = Rf + Beta x (Rm – Rf). Cost of debt = FY26 finance costs ₹280.5 Cr / total debt ₹3,212.6 Cr. Net cash = cash and bank balances ₹6,728 Cr less borrowings and leases ₹3,213 Cr. Terminal value at FY36E: ₹1,61,046 Cr.

Relative Valuation

Premier Energies, Emmvee Photovoltaic and Saatvik Green Energy were selected as comparable companies due to their presence in the solar manufacturing industry, with overlapping exposure to solar module manufacturing, domestic renewable energy demand and evolving manufacturing capacities. Their similar business models, growth drivers and exposure to industry-specific risks make them relevant benchmarks for assessing Waaree Energies



Comparable Company	EV/Revenue	EV/EBITDA	EV/PBT	P/E
Premier Energies Ltd	5.26	15.40	21.42	24.40
Emmvee Photovoltaic	4.07	10.50	15.53	16.30
Saatvik Green Energy	1.29	13.30	13.38	20.40
Average ratios	**3.54**	**13.07**	**16.78**	**20.37**

Comparable Company	EV/Revenue	EV/EBITDA	EV/PBT	P/E
Premier Energies Ltd	₹ 141838,21,91,781	₹ 97328,00,00,000	₹ 108214,71,05,930	₹ 92271,17,15,897
Emmvee Photovoltaic	₹ 109721,98,27,586	₹ 66360,00,00,000	₹ 78460,80,71,749	₹ 62209,82,36,440
Saatvik Green Energy	₹ 34781,02,09,424	₹ 84056,00,00,000	₹ 67619,07,69,231	₹ 77426,06,14,931

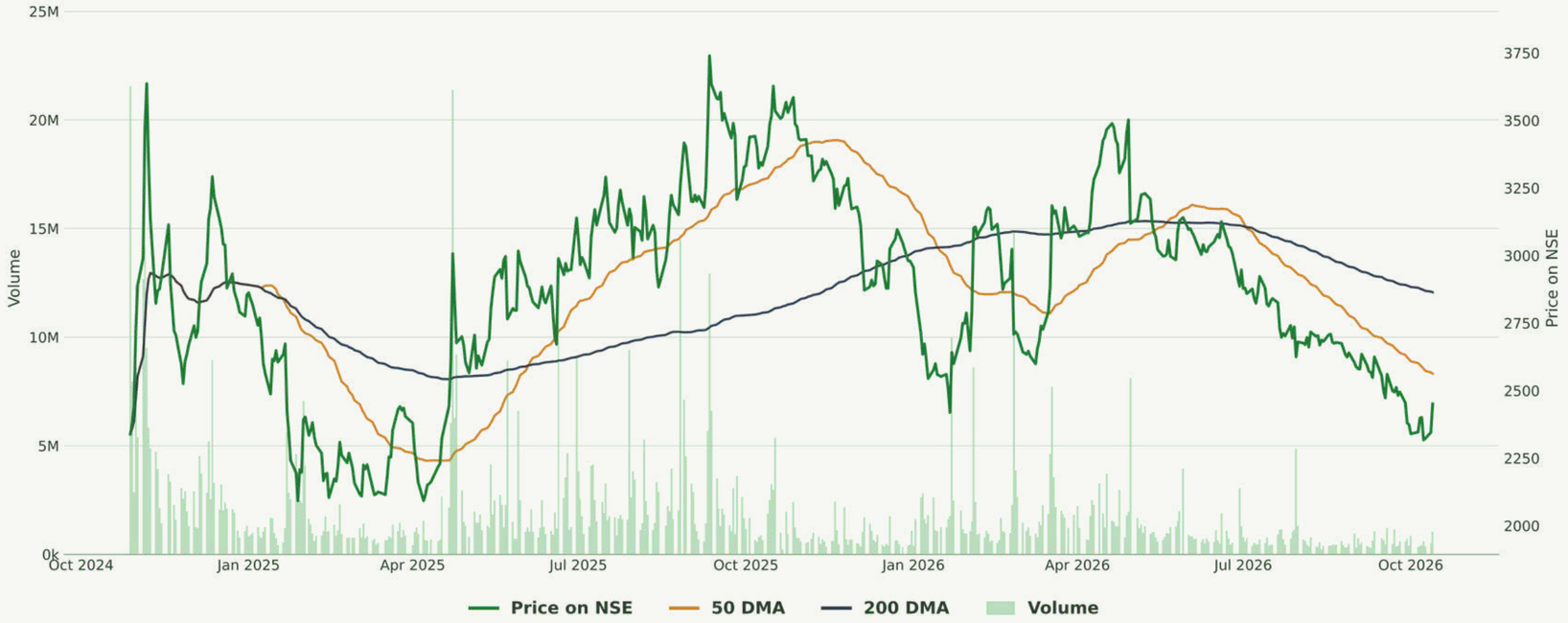
Waaree Energies offers an attractive investment opportunity, with a base-case upside of 23.4% from its current price of ₹2,347. Its strong positioning in the growing solar industry and potential for earnings growth support a positive valuation outlook.

	Base Case	Bear Case	Bull Case
Valuation	₹83,308 Cr	₹33,065 Cr	₹1,40,122 Cr
Share Price	₹2,896	₹1,149	₹4,871

Current Price (as on 12th October 2026)	**₹ 2,347**	**Min / Max (Relative Valuation)**	**₹ 1,149 / 4,871**

Hence, Waaree Energies is undervalued

Technical Analysis



Daily moving average

The bearish 50-DMA/200-DMA crossover (since 3 July 2026) reflects **macro-economic de-rating rather than bad fundamentals.** The **decline coincides** with news like **elevated US rates, tariff/trade-policy uncertainty, polysilicon cost spike and profit booking**. Such macro-driven de-ratings typically unwind once the headwind clears, With the stock already **down 37% from its high,** a stabilization in global sentiment could support a sharp move back toward fair value.

RSI stabilization

Momentum Stabilizing from Oversold Waaree's **14-day RSI stands at 48.7**, recovering from a **low of ~27 in late September 2026** that marked clearly oversold territory. The sharp rebound in RSI which helped in **price bounce off the 52-week low of ₹2,282** suggests selling pressure is exhausting rather than accelerating. RSI has not breached the overbought threshold of 70 since April 2026, reflecting the extended downtrend, and a sustained move back above **50–55 would be the first confirming signal that momentum is turning positive**. Until then, RSI sitting in neutral territory indicates the stock is no longer in freefall

Investment Thesis

Waaree Energies offers a **compelling long-term opportunity** as India's largest solar module manufacturer and the largest non-Chinese module maker globally, with **~26 GW of module capacity** and an **order book of ~₹61,500 Cr.** Its **₹31,497 Cr Waaree 2.0** programme moves it beyond modules into cells, ingot-wafers, BESS, inverters and transformers, which should expand its addressable market.

FY26 was a record year: **revenue grew 84%** to ₹26,537 Cr, operating **EBITDA rose 117%** to ₹5,909 Cr at a 22.3% margin, and PAT doubled to ₹3,884 Cr, with **ROE of 29% and ROCE of 32%**. Management has guided FY27 EBITDA of ₹7,000–7,700 Cr, and the balance sheet holds **net cash of ₹3,516 Cr,** so the capex programme does not rely on heavy borrowing.

Competition from Premier Energies, Emmvee and other module makers, along with higher raw material costs and US tariffs pulled the Q1 FY27 **margin down to 18.2%**. Waaree's answer is **backward integration**: **cell capacity rises from 5.4 GW to 15.4 GW**, cell-integrated lines earn 35–40% margins, and India's full shift to DCR-compliant supply from FY29 favours integrated players.

Our three-stage DCF values Waaree at ₹2,915 per share and relative valuation gives ₹2,896, so both methods point to about ₹2,900. We set a **base case target of ₹2,906** (the average of the two), **~24% upside from ₹2,347**, within a target range of ₹1,149 to ₹4,871 from the DCF sensitivity table. Every WACC and terminal growth combination in that table stays above the current price.

Waaree Energies Ltd (WAAREEENER) - BUY RECOMMENDATION

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